BRANCH 01

Executive Culture and Transformation

Shared meaning, adaptive capacity, and the social conditions of durable change

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Overview

Executive culture is often described as tone, values, or the example set at the top. Those descriptions are useful but incomplete. Culture also operates as a coordination system: it tells people whose interpretation counts, which risks may be named, what happens after bad news, and whether declared priorities survive contact with budgets, workloads, and rewards. Transformation becomes credible when those signals align closely enough for people to understand the direction, influence the route, and see that participation can produce a result.

The three essays in this reader approach that proposition from different angles. The first offers an integrative account of transformation as shared sensemaking, supported experimentation, reciprocal communication, and disciplined attention to progress. The second examines the limits of culture talk when power, capacity, and unequal exposure to change remain unaddressed. The third considers executive work at a human scale: how leaders shape the emotional and interpretive field through the questions they ask, the uncertainty they acknowledge, and the stewardship they practice across time.

Across all three, agency is treated as relational rather than heroic. People adapt more resourcefully when they have reliable support, usable strengths, meaningful voice, and evidence that improvement is possible. Realistic hope, in this account, takes the form of confidence made credible by honest interpretation, practical inclusion, and incremental proof.

ESSAY ONE

Culture as a Coordination System

What culture coordinates

An executive team communicates through far more than speeches. It communicates through the issues that receive meeting time, the exceptions it tolerates, the people it promotes, and the losses it is willing to name. Employees read these choices as evidence about what the organization is actually trying to do. That reading matters acutely during transformation, as established routines lose explanatory power and information remains unevenly distributed. Culture then becomes a working answer to four questions: What is happening? Who belongs in interpreting it? What may we try? What will happen if an attempt reveals a problem?

This view changes the executive task. Culture develops socially as people compare messages with experience and make plausible accounts that support action (Weick, Sutcliffe, & Obstfeld, 2005). Gioia and Chittipeddi's (1991) study of strategic change showed executive sensegiving and organizational sensemaking as reciprocal processes in place of a one-way cascade. Leaders offered an interpretation; members responded, revised, and sometimes redirected it. Strategic authority remains intact, while execution depends on whether people can place a choice within a coherent account and contribute knowledge beyond senior leaders' field of view.

Transformation therefore starts with interpretive honesty. Executives can describe what is known, what remains uncertain, what constraints are real, and what evidence would change the present view. Such clarity leaves difficulty and loss visible while reducing the cognitive tax of deciphering euphemism. Research on change reactions suggests that people respond to a change's content, process, anticipated benefit or harm, and the context that preceded it (Oreg, Vakola, & Armenakis, 2011). A credible account makes room for those appraisals. It treats concern as information about consequences, identity, or feasibility rather than as a character flaw.

From announcement to reciprocal meaning

Readiness is sometimes mistaken for enthusiasm. A more useful conception includes beliefs about why change is needed, whether the proposed response is appropriate, whether people can contribute to it, and whether leaders will provide support (Armenakis, Harris, & Mossholder, 1993). This is why repetition alone rarely resolves skepticism. A message becomes actionable when employees can test it against local reality and receive a serious response. Communication is reciprocal when a question can alter an explanation, a warning can alter a sequence, and expertise can alter a decision.

Employee voice grows from evidence that an open door is usable. In a large field study, managerial openness was more consistently related to improvement-oriented voice than broad transformational behavior, partly through employees' judgments about interpersonal risk (Detert & Burris, 2007). The result is intuitively demanding: an executive's inspiring account may invite identification while still leaving dissent dangerous. Psychological safety is the shared sense that interpersonal risks such as admitting uncertainty, asking for help, or reporting error will receive respectful, accountable handling. It has been associated with learning behavior in teams, especially when contextual support and leader coaching are present (Edmondson, 1999). It combines interpersonal candor with clear accountability so inconvenient information can enter the work.

Status makes this condition uneven. Nembhard and Edmondson (2006) found that inclusive leader behavior helped health-care teams cross professional status boundaries and engage in improvement. At executive scale, the lesson is to examine who can use a channel at a reasonable personal cost. Contractors, employees in declining units, people carrying stigmatized identities, and middle managers caught between targets may interpret the same invitation differently. Practical inclusion begins with hearing and closes the loop by acknowledging what was understood, explaining what remains fixed and what remains open, and making visible how input affected action.

Capability grows through supported action

People are more likely to invest effort when they believe their action can produce an effect. Bandura (2000) described collective efficacy as a shared belief in a group's capacity to organize and execute action. Distinct from self-esteem and motivational decoration, it develops through experience, including mastery, credible social modeling, and feedback. During transformation, this suggests a progression from abstract ambition to bounded opportunities in which teams can use existing expertise, combine it with new knowledge, and observe a consequence.

Small progress matters because it supplies evidence. Yet its value is easily distorted. An under-resourced symbolic pilot, or a local success that leaders cite while preserving contradictory incentives, may weaken confidence. Progress becomes capability-building when the problem is consequential, the team has discretion proportionate to responsibility, and learning can travel. Positive psychological resources have been associated with more supportive attitudes and adaptive behavior during organizational change, while coherent systems remain indispensable to interpretation of that evidence (Avey, Wernsing, & Luthans, 2008). Confidence is most credible when people can name the strengths already available-craft knowledge, trusted relationships, reliable routines-and when the organization supplies complementary resources.

Feedback is central to this process. It should include operational measures alongside signals about workload, understanding, belonging, and unintended harm. Rafferty and Griffin (2006) found that how employees perceived change-its frequency, impact, planning, and uncertainty-related to stress and coping. A dashboard that records delivery while omitting human strain provides an incomplete picture of execution. Conversely, an unanswered pulse survey can teach employees that disclosure is ceremonial. A mature feedback system joins measurement with interpretation and response.

Progress with moral memory

Transformation redistributes more than tasks. It can redistribute status, autonomy, security, and access to opportunity. An organization therefore needs moral memory: the capacity to remember who absorbed earlier costs, which promises were deferred, and where trust was spent. Moral memory supports deliberate revision of legacy arrangements by acknowledging that people interpret new requests through prior experience. Compassion can be coordinated through ordinary organizational structures when attention, trust, and resources are redirected toward suffering (Dutton, Worline, Frost, & Lilius, 2006). Care becomes organizationally meaningful when tone leads to changes in access, timing, workload, or support.

Leaders also shape whether progress is experienced as collective. Celebrating a milestone can strengthen attention and motivation, but only if recognition corresponds to the distributed labor that produced it. The people who prevented failure, translated across functions, cared for customers through disruption, or helped colleagues learn are part of the achievement. Naming such contributions reinforces interdependence and belonging. It also counters the tendency to narrate change as a sequence of executive decisions followed by employee adoption.

The strongest change practices are mutually reinforcing: a coherent account makes participation intelligible; reciprocal voice improves the account; supported action builds efficacy; feedback exposes constraints; and fair recognition preserves the relationships needed for the next step. Research syntheses accordingly portray successful change as a sequence of evidence-informed activities rather than a single charismatic intervention (Stouten, Rousseau, & De Cremer, 2018). Outcomes remain contingent on markets, technology, politics, and chance. Together, these practices create a culture capable of learning while retaining direction.

Realistic hope emerges here as an organizational judgment. It says that difficulty can be named alongside agency, plans can be revised with dignity, and incremental gains deserve attention as partial evidence. Executives earn that hope when their signals, resources, and responses allow people to see themselves as members of a supported collective able to make the next answer better.

ESSAY TWO

Power, Capacity, and a Fair Settlement

Make power visible in culture work

Culture is attractive to executives because it seems to join meaning and performance. It can also become a polite substitute for examining power. A stalled transformation may be diagnosed as insufficient openness, weak resilience, or attachment to the past when the more immediate causes are incompatible targets, concentrated decision rights, or credible fears of loss. The language of shared values can make unequal exposure appear communal: everyone is said to be "on the journey," even though some people choose the destination while others surrender roles, schedules, status, or security.

Research on change recipients cautions against reducing reactions to a stable disposition. People's responses vary with process, context, anticipated consequences, and the behavior of change agents (Oreg, Vakola, & Armenakis, 2011). A person who contests a timetable may be protecting safety or service quality. A middle manager who appears hesitant may be reconciling incompatible mandates. A group described as nostalgic may possess institutional memory about why an earlier effort failed. Each interpretation deserves critical investigation before executives convert disagreement into a psychological deficiency.

Power enters sensemaking because interpretations travel with unequal force. Senior leaders can name an event, repeat that name across channels, and attach resources to it. Others may know more about local consequences yet possess a smaller platform. Sensemaking is social, action-oriented, and politically charged (Weick, Sutcliffe, & Obstfeld, 2005). An evidence-aware account therefore asks who can define the situation, whose evidence is treated as strategic, and whose experience is relegated to implementation detail.

Consequential voice earns trust

Organizations often respond to this problem by inviting voice. Influence becomes credible when listening sessions, surveys, or councils lead to an accountable response. Employees weigh both interpersonal safety and expected efficacy: Will speaking receive protection, and is it likely to matter? Morrison's (2014) review shows that voice and silence arise from multiple judgments about risk, obligation, and utility. Repeated disclosures that leave problems untouched can teach silence through futility rather than reveal a failure of courage.

Leader behavior affects those judgments. Detert and Burris (2007) found managerial openness associated with improvement-oriented voice, while Nembhard and Edmondson (2006) showed how inclusive leadership could mitigate status barriers in health-care teams. Dependence persists even when an invitation feels warm. A worker whose schedule, evaluation, immigration status, contract renewal, or promotion rests with the recipient of criticism faces a different decision from a senior professional with external options. Executives should treat aggregate participation data cautiously when they obscure these asymmetries. Silence remains especially ambiguous where the cost of complaint is high.

Practical inclusion begins after the disclosure. It asks whether decision criteria become clearer, whether resources move, whether a harmful assumption is revised, and whether the person who raised the issue remains in good standing. Requests may lead to different judgments; each deserves a reasoned response and a route for continued challenge. When leaders explain tradeoffs and identify what evidence shaped the decision, they help convert consultation into institutional learning. Story collection earns trust when it serves that learning.

Capacity precedes commitment

Transformation demands cognitive, emotional, and temporal work. People must understand new goals, learn unfamiliar practices, relinquish routines, maintain current service, and often support colleagues through uncertainty. Those demands are routinely omitted from business cases. A large German survey study found organizational change associated with psychosocial risks and poorer mental-health indicators, while emphasizing the limits of causal inference from its repeated cross-sectional design (Backhaus et al., 2024). The appropriate lesson is to give the occupational-health consequences of change explicit design attention.

Executive narratives frequently praise adaptability while leaving capacity fixed. The resulting gap is then absorbed through overtime, workarounds, and informal care. Bandura's (2000) collective efficacy requires shared capacity for action; privatized system strain produces a different condition. Shared confidence grows when people have usable resources and evidence of joint influence. It decays when success depends on concealing exhaustion. Positive psychological resources may help individuals navigate uncertainty, while staffing, authority, and coherent priorities remain essential complements (Avey, Wernsing, & Luthans, 2008).

Care must therefore change material conditions. Dutton and colleagues (2006) showed how organizational structures could be repurposed to notice suffering and coordinate an effective response. Compassion joins interpersonal concern with a distributive dimension: whose burden is reduced, whose time is protected, and whose needs are treated as legitimate. During restructuring, humane intent becomes humane effect through a feasible handover period.

Transformation as a fair settlement

A critical view can produce a demanding and useful definition of transformation: a provisional settlement among purpose, power, capability, and consequence. "Provisional" matters because every design leaves some effects unforeseen. "Settlement" matters because people need enough clarity and fairness to coordinate, even while revision remains possible.

Such a settlement starts by distinguishing fixed constraints from choices still open to influence. It makes losses discussable and visible alongside aspirational language. It recognizes groups whose contributions are essential but whose bargaining power is weak. It measures progress through adoption rates alongside indicators of workload, error, access, and trust. And it remembers that fairness is judged through outcomes, voice, explanation, and consistency.

Readiness research has long emphasized credibility, social dynamics, and beliefs about appropriateness and support (Armenakis, Harris, & Mossholder, 1993). Stouten, Rousseau, and De Cremer's (2018) synthesis likewise presents organizational change as disciplined work across diagnosis, participation, leadership, and institutionalization. These traditions become stronger when joined to a political question: who possesses the means to enact or resist the proposed future? That question helps make participation consequential and optimism freely held.

Realistic hope is possible when the organization supplies reasons to believe that candor, adjustment, and mutual support can change the path. It allows employees

to hold a full range of responses while leaders create trustworthy evidence: a conflict resolved with protection for the participants, a workload reduced when data reveal strain, a frontline warning incorporated before harm, and a milestone recognized alongside the remaining distance. Each instance is small relative to enterprise transformation. Together they reveal whether culture is a shared capacity for adaptation or simply the vocabulary through which authority describes itself.

ESSAY THREE

Executive Attention as a Form of Stewardship

The signal environment

At senior levels, attention becomes a public signal. What an executive notices, asks about, revisits, or ignores becomes part of the organization's interpretive environment. A single question in a review can redirect weeks of analysis; a dismissive reaction can suppress an entire category of news. This asymmetry makes executive presence consequential beyond formal authority. Leadership is partly the design of conditions under which other people can perceive, interpret, and act together.

Kahn's (1990) study of personal engagement described psychological conditions of meaningfulness, safety, and availability. Although developed at the level of individual engagement, the concepts illuminate executive work. People are more able to bring attention and judgment to change when the work feels worth doing, social risk is manageable, and they possess enough physical and emotional capacity. Executives can strengthen those conditions through coherent priorities, respectful correction, and sustainable demands, even as individual experience remains partly beyond their control.

The human-scale question is therefore, "What becomes easier or harder to notice around me?" Certainty can calm, but false certainty narrows the field. A leader who names uncertainty while defining the next bounded commitment offers durable, candid orientation.

Calibrated confidence

Collective efficacy is a useful corrective to executive heroism. Bandura (2000) argued that shared belief in collective capability affects the goals groups pursue, the effort they sustain, and their resilience in the face of setbacks. Such belief grows through mastery, trustworthy feedback, and evidence that coordinated action has effects; exhortation plays a supporting role.

Executives can support calibrated confidence by connecting ambition to available strengths. An organization entering unfamiliar terrain still possesses experienced

people, customer knowledge, technical craft, relationships, and routines that reliably protect quality. Naming those resources creates a grounded starting point for adaptation. Calibration also names the complementary requirements with equal clarity: new skills, different authority, time, partnerships, or a revised assumption.

Progress then becomes informational. A modest gain can show that a hypothesis has merit, that collaboration across a boundary is possible, or that a previously excluded group improves the design. Its evidentiary value remains bounded by context. Positive emotion may widen attention and help build psychological and social resources, while context, emotional authenticity, and ongoing threat remain consequential (Fredrickson, 2001; Avey, Wernsing, & Luthans, 2008). The executive contribution is to make room for relief, pride, curiosity, and even humor while preserving contact with unresolved reality.

Conversation as shared cognition

Strategic conversation is often treated as transmission: leaders simplify, managers repeat, employees align. Sensemaking research offers a richer picture. People enact and revise meaning through language and action, and executive sensegiving is itself changed by response (Gioia & Chittipeddi, 1991; Weick, Sutcliffe, & Obstfeld, 2005). Conversation is therefore a form of shared cognition. Its quality depends on whether participants can introduce discrepant cues and whether the group can treat revision as learning.

Psychological safety helps explain why this capacity varies. Edmondson (1999) found it associated with team learning behavior, while leader inclusiveness can reduce some effects of professional status on participation (Nembhard & Edmondson, 2006). At the executive table, reciprocal communication requires particular discipline because hierarchy amplifies small behaviors. Interrupting the least powerful person, rewarding only polished certainty, or asking questions whose preferred answer is obvious teaches a pattern. So does pausing over an anomaly, crediting a correction, or explicitly inviting the expertise closest to the consequence.

Response completes listening. A useful executive response can acknowledge the contribution, test understanding, identify the decision owner, and explain the eventual judgment. That sequence respects people while preserving room for disagreement. It also helps the organization distinguish the volume of communication from the quality of mutual comprehension.

Stewardship across time

Transformation compresses attention toward the next quarter, release, or milestone. Stewardship restores a longer field. It considers what capabilities, relationships, and moral obligations the organization will carry after the immediate program ends. This horizon matters because the means of change become part of the resulting culture. An organization that reaches a target by exhausting its most dependable people, punishing early warnings, or sidelining dissent has also built the conditions for its next failure.

Careful stewardship holds multiple timescales together. There is the present need for direction, the near-term need for learning, and the longer need for legitimacy and renewal. Compassion organized through structures can help a collective respond to strain rather than leaving care to isolated goodwill (Dutton et al., 2006). Fair recognition can keep interdependence visible. Periodic reinterpretation can incorporate new evidence. Hard choices remain. These practices bring greater deliberation to the distribution of hardship and orient the organization toward shared responsibility.

The mature executive stance combines orientation with revisability: state a purpose, expose assumptions, invite consequential knowledge, support action, and change course when evidence warrants. It measures progress in proportion to its meaning. It respects the courage required to speak across hierarchy and the care required to turn that speech into inclusion.

This form of leadership may appear quieter than the dramatic narrative of transformation. Its effects are cumulative. People learn whether help will arrive, whether expertise travels upward, whether a setback becomes blame or inquiry, and whether improvement is recognized alongside its cost. Over time, those judgments determine how much intelligence and goodwill remain available to the enterprise. Executive attention becomes stewardship when it leaves the organization more able to belong, learn, adapt, and hope with its eyes open.

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